

Double Materiality Assessment of Tata Power

A comparative study of materiality outcomes
using publicly available information

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AGENDA

How this study is structured

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|----|--|--|
| 01 | Context & Objective | <i>Why materiality choices matter, and what this study sets out to test</i> |
| 02 | Scope, Methodology & Key Assumptions | <i>How the independent DMA was built, and the boundaries it was built within</i> |
| 03 | Independent DMA: Assessment Outcomes | <i>Classification of all 30 ESG topics assessed</i> |
| 04 | Benchmark Results: Independent vs. Official | <i>Alignment metrics and the four outcome types compared</i> |
| 05 | Top-Priority Topic Comparison | <i>Where the two “Very High” priority lists agree, and where they diverge</i> |
| 06 | Disclosure Quality Comparison | <i>Transparency of both processes against ESRS and GRI 3 references</i> |
| 07 | Conclusions & Recommendations | <i>What the comparison means — and its limits</i> |

Materiality choices shape how Tata Power measures, manages and reports

16,716 MW

Generation portfolio

7,856 MW

Clean and green operational capacity

13.1 Mn+

Distribution customers

Context

Tata Power supplies electricity to more than 13 million customers through an integrated value chain spanning generation, transmission, distribution and renewables. Decisions about which sustainability topics are “material” determine what the company measures, manages and reports — and therefore how its employees, customers, communities and the environment are considered.

A Double Materiality Assessment (DMA) examines each topic from two directions: the company’s impact on people and the environment, and the effect of sustainability matters on the company’s financial position.

OBJECTIVE

To examine whether an independent assessment, built solely on public information, reaches a materiality view consistent with Tata Power’s own FY2025-26 assessment.

- 1 Construct an independent DMA covering 30 ESG topics.
- 2 Benchmark the outcome against the official 27-topic assessment.
- 3 Identify areas of alignment and difference, and compare the transparency of both processes.

A four-step scoring model, benchmarked using three comparison measures

1 Issue Universe

30 ESG topics (10 environmental, 10 social, 10 governance) derived from the business model and public disclosures.

2 Impact Scoring

Mean of Severity, Scope and Irremediability, multiplied by a likelihood factor (0.60 to 1.00).

3 Financial Scoring

Financial magnitude multiplied by the likelihood factor; time horizon recorded for context.

4 Classification

A score of 3.0 or above on a dimension is material; both dimensions gives Double Material.

Benchmarking approach

Topic mapping

Each of the 30 topics mapped to the 27 official topics: 17 one-to-one, 7 reframed, 4 merged and 2 with no official equivalent.

Band conversion

Topics ranked on impact × financial score and converted to Very High / High / Medium bands, matching the official band distribution.

Comparison measures

Alignment Index, exact-match rate, and top-band recall and precision, with an overall grade.

What this comparison assumes, and what it could not access

Materiality threshold is inclusive

A 3.0 score on either dimension qualifies as material. All 30 topics reach 3.0 on at least one dimension, so the impact × financial priority ranking (max 25) is the more discriminating view.

Topic mapping and bands are analyst-defined

The 30-to-27 topic mapping (17 one-to-one, 7 reframed, 4 merged, 2 unmatched) and the Very High / High / Medium band cut-offs were set by the analyst, calibrated to match the official band distribution.

Official bands are read from a published chart

Official priority bands are taken from Tata Power's published materiality matrix and are approximate near band boundaries, not exact published scores.

No access to internal process inputs

Internal scoring detail, stakeholder engagement inputs and assurance work were not accessible; every independent score is an analytical judgement based on public disclosure alone.

Two topics sit outside the comparison

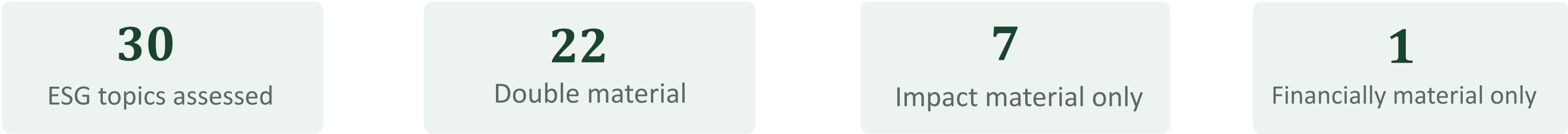
Ash Management and Land Use have no official equivalent topic and are excluded from the Alignment Index, exact-match rate, and recall / precision calculations.

Likelihood factor applied uniformly

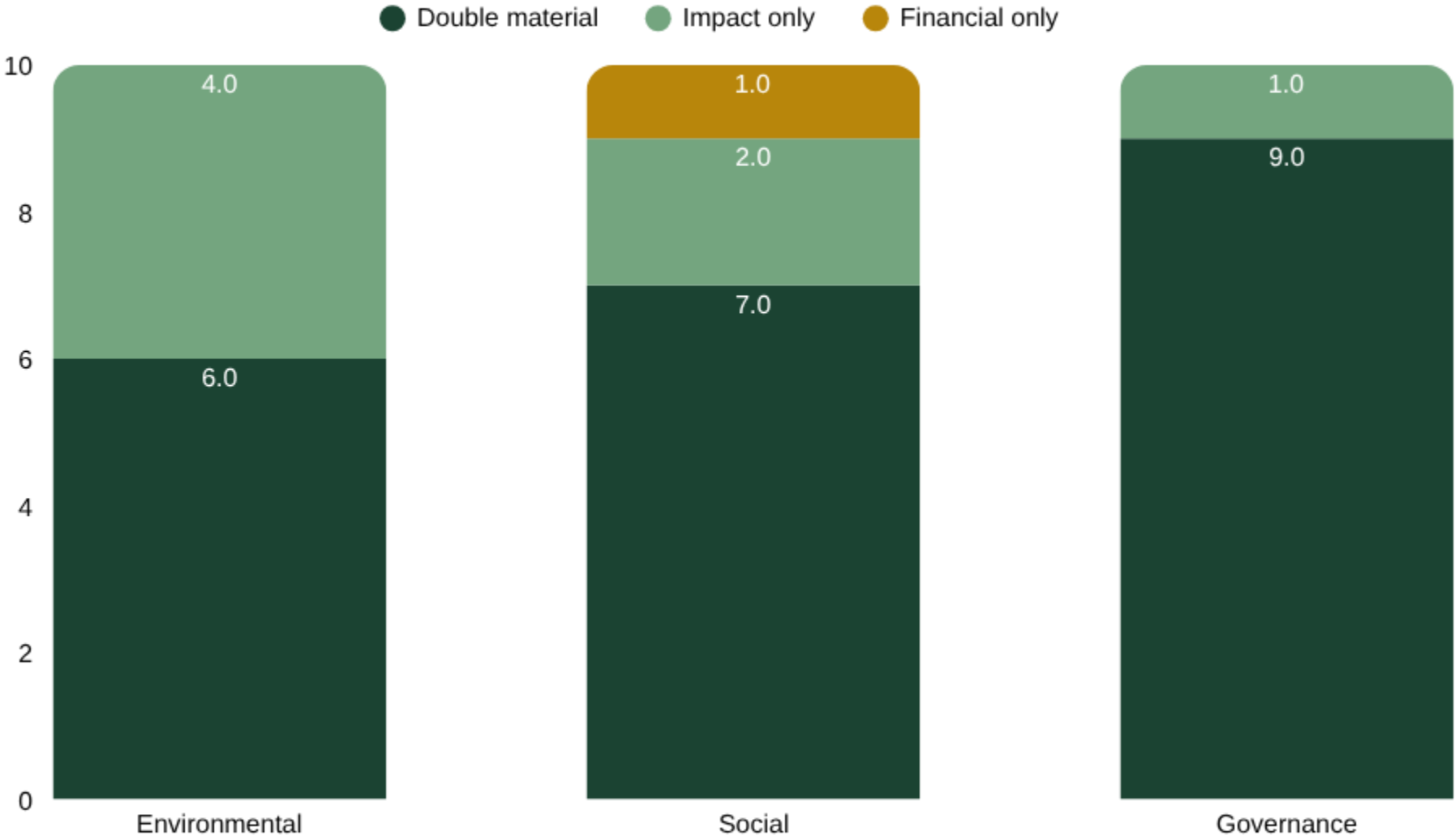
A single likelihood factor (0.60 to 1.00) is applied consistently across both impact and financial scoring for every topic.

03 — ASSESSMENT OUTCOMES

22 of 30 topics are double material - governance topics rank most consistently high



Classification by ESG category (number of topics)



Highest-ranked topics

Ranked by impact × financial score (maximum 25)



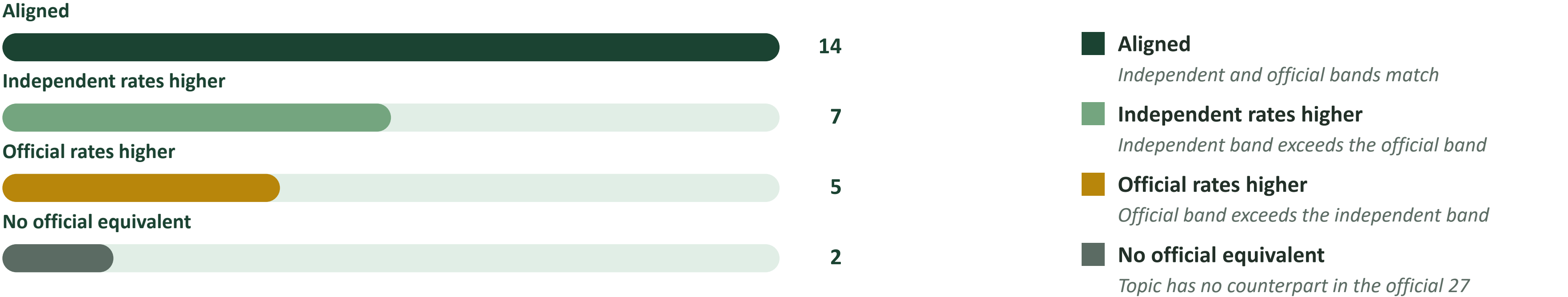
04 — BENCHMARK RESULTS

An 85% Alignment Index, moderated by a 54% exact-match rate at topic level

Indices based on 26 topics with a direct official counterpart; 2 further topics have no official equivalent



Topic-level outcome, by type (26 compared topics + 2 unmatched)



B

OVERALL BENCHMARK GRADE

Moderate

No compared topic differs from the official band by more than one level. Eight of the 12 differences occur at the Very High / High boundary.

05 — TOP-PRIORITY TOPIC COMPARISON

6 of 10 official Very High topics are confirmed - 4 are flagged for scoring review

Official “Very High” priority topics (10)

Official Very High topic	Independent band	Outcome
Climate strategy	Very High	Consistent
Emissions management	Very High	Consistent
Energy management	High	Difference
Continuous & affordable green power	Very High	Consistent
Water and effluent management	High	Difference
Occupational health and safety	Very High	Consistent
Ethical business conduct	High	Difference
ESG governance	Very High	Consistent
Creating economic value	High	Difference
Digitalisation, data privacy & cybersecurity	Very High	Consistent

Independent “Very High” rated High officially (4)

Independent topic	Official topic	Band
Regulatory compliance	Regulatory compliance and landscape	High
Risk management (ESG risk)	Risk management and BCDMP	High
Access & affordability	Access and affordability	High
Innovation (clean technology)	Innovation and collaborations	High

Close to the boundary

All four topics are Official “High” — one band below Very High. Three of the four sit within a single rank of that boundary.

-  Band difference
-  Consistent band

INTERPRETATION

Energy management, water, ethical conduct and economic value are candidates for scoring review. Three topics lie within one rank of a band boundary and should be read with care.

06 — DISCLOSURE QUALITY COMPARISON

Official disclosure leads on governance; independent disclosure leads on scoring transparency

Scored 0–2 per criterion against good-practice references (ESRS, GRI 3); analyst judgement

Criterion	What it measures	Off.	Ind.
PROCESS & GOVERNANCE DISCLOSURE			
Frameworks named	References standards used (e.g., ESRS, GRI) explicitly	2	1
Process steps disclosed	Describes the scoring / assessment steps followed	2	1
Stakeholder engagement	Discloses who was consulted, and how	1	0
SCORING TRANSPARENCY			
Two dimensions defined	Defines both impact and financial materiality	2	2
Scales and thresholds	Publishes the scoring scale and materiality cut-off	0	2
Time horizon, value chain	States the time frame and value-chain boundary assessed	1	1

Criterion	What it measures	Off.	Ind.
TOPIC-LEVEL EVIDENCE			
Topic-level results	Publishes a score or band for each topic	1	2
IROs per material topic	Lists impacts, risks and opportunities per topic	1	2
Link to targets and KPIs	Connects material topics to targets / KPIs	1	2
ASSURANCE & FOLLOW-THROUGH			
Independent assurance	Confirms external assurance of the process	1	0
Refresh and approval	States update frequency and sign-off	2	0
Change log	Tracks changes from the prior assessment	2	0

16 / 24

Official DMA — 67%, Grade B

13 / 24

Independent DMA — 54%, Grade C

Official DMA is stronger on
Governance, refresh cycle, change log, assurance and stakeholder engagement.

Independent DMA is stronger on
Disclosed scales and thresholds, topic-level results, topic-level IROs and links to targets.

07 — CONCLUSIONS & RECOMMENDATIONS

Public disclosure gets most of the way there — transparency closes the rest of the gap

Conclusions

1 Broad consistency

An independent view built on public data closely tracks the official assessment: Alignment Index of 85%, with no topic more than one band apart.

2 Differences at the top boundary

6 of 10 official Very High topics appear in the independent top band; four are flagged for scoring review. Eight of the 12 differences sit at the Very High / High boundary.

3 Complementary transparency

Public disclosure supports an approximate, not exact, reproduction of official outcomes. Greater disclosure of scales and topic-level results would strengthen stakeholder understanding.

Limitations

- Official priority bands are read from the published matrix chart and are approximate near band boundaries.
- Topic mapping, band cut-offs and grade thresholds are analyst-defined; the 3.0 threshold is inclusive, so all 30 topics qualify on at least one dimension.
- Internal scoring, stakeholder inputs and assurance work were not accessible; independent scores are analytical judgements.

BOTTOM LINE

Public disclosure alone gets an independent reader roughly four-fifths of the way to Tata Power's own materiality view. Closing the remaining gap depends on greater transparency around scoring thresholds and topic-level evidence.

For Tata Power

Publish scoring scales, materiality thresholds and a year-on-year change log to close the disclosed-transparency gap identified above.

For analysts & investors

Treat an independent, public-data DMA as a directional cross-check — not a substitute — given roughly 1 in 5 topics differ at the top-priority boundary.

REFERENCES

Sources referenced in this analysis

01	107th Annual Report – FY 2025-26	Tata Power's audited annual report, financial statements and business overview
02	Business Responsibility and Sustainability Report (BRSR), FY 2025-26	Statutory sustainability disclosure, including the independent assurance statement
03	Materiality Assessment – Tata Power Sustainability page	Company's published materiality determination process and materiality matrix (tatapower.com)
04	ESRS and GRI 3: Material Topics	Good-practice disclosure frameworks used as the benchmark for the disclosure-quality comparison